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Surveillance Pricing: The

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At a Glance

- Companies in a wide range of industries are finding creative new ways to collect and harness consumer data to deploy targeted or personalized pricing.
- However, these pricing strategies, which are commonly referred to as "surveillance pricing" or "algorithmic pricing," are under heightened scrutiny from regulators, legislators, and law enforcement officials.
- Congress is considering several proposed laws that would impose significant restrictions or outright bans on "surveillance pricing." Additionally, over 20 state legislatures have

introduced legislation that seeks to regulate or ban surveillance pricing outright in at least some industries. A number of these statutes grant consumers a private right of action, include statutory damages provisions, and allow for the recovery of attorneys' fees.

- The evolving legal landscape regarding these pricing strategies may spark a new wave of class action litigation from the plaintiffs' bar. In fact, a major airline was recently named as a defendant in one of the first putative class actions ever filed alleging claims related to surveillance pricing practices. A separate plaintiff has already filed a second putative class action against the same airline based on virtually identical factual allegations and substantially similar legal theories.
- Companies should take immediate steps to assess their exposure to enforcement activity or class action litigation claims related to their pricing strategies.

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York has required specific disclosures regarding surveillance pricing, but the New York law does not ban the practice. The Maryland and New York laws do not include a private right of action. Over 20 other state legislatures have now introduced legislation that seeks to regulate or ban surveillance pricing outright for at least some industries. A number of these statutes grant consumers a private right of action, include statutory damages provisions, and allow for the recovery of attorneys' fees.

If passed, the proposed federal and state statutes could lead to a significant wave of class action litigation. The plaintiffs' bar may also attempt to assert claims for violations of federal and state privacy statutes, state consumer fraud statutes, and other common law theories of liability. As perhaps a harbinger of future trends, plaintiffs have filed two of the first putative class actions regarding surveillance pricing against JetBlue Airlines in the Eastern District of

New York. *See Phillips v. JetBlue Airways Corp.*, No 1:26-cv-02405 (E.D.N.Y. Filed April 22, 2026); *Squire v. JetBlue Airways Corp.*, No. 1:26-cv-02629 (E.D.N.Y. Filed May 1, 2026). The plaintiffs' bar has also challenged surveillance or algorithmic pricing strategies under federal and state antitrust laws. Although many of these antitrust claims have failed due to plaintiffs' inability to prove that defendants shared consumer pricing data, other cases have survived dismissal, and one case recently resulted in a significant settlement.

The following sections of this article provide additional information regarding the multifaceted scrutiny of surveillance pricing strategies. Additionally, this article provides strategic considerations and recommendations to help companies assess their exposure to enforcement activity or class action litigation claims.

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The FTC's Initial Investigation & Research Summary

In response to media reports and growing consumer interest, the Federal Trade Commission initiated a study of surveillance pricing using its Section 6(b) investigative authority in July of 2024. The FTC's inquiry focused on several third-party intermediaries that offer pricing products to retailers. The pricing products at issue analyze consumers' personal information using artificial intelligence, algorithms, and other advanced technologies to set prices for goods or services. The FTC asked these companies to provide information concerning their product offerings, data collection methods, and customer and sales information to determine whether and to what extent surveillance pricing impacts consumers and prices.

In January 2025, the Commission took the unusual step of publishing a preliminary "Research Summary" of its findings to date rather than complete Section 6(b) studies and reports. As detailed in the Summary, the Commission found evidence that companies were using consumers' data — including their location, browsing history, and demographic traits — to charge consumers different prices for the same goods. The Summary also described some of the ways in which retailers were already using the tools and services it studied:

> For instance, if a consumer is profiled as a new parent, the consumer may intentionally be shown higher priced baby thermometers on the first page of their in-app search results, based on their residential zip code and time of purchase. These tools could also potentially be used to collect behavioral details that a retailer could use to forecast a customer's state of mind, like using

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Street Journal and *Jacobin*, indicating skepticism across the political spectrum.

State Enforcement Activity

In addition to the House Committee's investigation, states are also beginning to take action. On January 27, 2026, California Attorney General Rob Bonta announced an investigative sweep targeting surveillance pricing practices by sending inquiry letters to prominent businesses in the retail, grocery, and hotel sectors. The inquiry requests information about how these companies use consumers' personal information, including shopping and browsing histories, locations, demographics, and other data, to set individualized prices. The inquiry also requests information on these companies' policies, public disclosures, and compliance with privacy and competition laws. Attorney General Bonta intends to use the California

Consumer Privacy Act's (CCPA) "purpose limitation" to limit how companies use personal information in ways that are consistent with the "reasonable expectations" of consumers.

The Evolving Legal Landscape

Proposed Federal Legislation

The Stop AI Price Gouging and Wage Fixing Act (H.R. 4640) and the Stop Price Gouging in Grocery Stores Act (H.R. 4966) propose significant federal restrictions on the use of surveillance and dynamic pricing technologies in retail grocery stores and in setting wages.

Under the Stop AI Price Gouging and Wage Fixing Act, individuals, partnerships, corporations,

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The enforcement mechanisms under these acts would grant enforcement authority to the FTC, state attorneys general, and private individuals. The Equal Employment Opportunity Commission (EEOC) would also be able to enforce violations regarding surveillance-based wage setting. Consumers would have a private right of action allowing them to seek $3,000 in statutory damages, actual monetary damages, or injunctive relief for violations, with willful and knowing violations subject to treble damages. Lastly, under both laws, courts would be able to award prevailing plaintiffs any costs and reasonable attorneys' fees. Both bills have since been referred to committee.

Twenty-eight representatives have also expressed support for the Federal AI Civil Rights Act (H.R. 6356), which would prohibit both developers and deployers from offering, licensing,

promoting, selling, or using covered algorithms in ways that would cause disparate impact or otherwise discriminate against individuals, or make the equal enjoyment of goods, services, activities, or opportunities unavailable. This legislation would apply to any algorithm that could affect access to these offerings and would specifically target potential discrimination resulting from the use of AI.

The legislation would mandate a series of assessments and reporting requirements for developers and deployers. Before deploying any covered algorithm, developers and deployers would be required to conduct a plausibility assessment to evaluate whether the algorithm could result in harm, followed by an independent pre-deployment audit. Additionally, developers and deployers would be obligated to conduct annual reviews of each impact assessment and regularly report findings to the commission. As with the bills above, the

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New York: GBL 349-a

On December 19, 2025, New York enacted the Fostering Affordability and Integrity through Reasonable (FAIR) Business Practices Act — the first legislation in the United States to address surveillance pricing. N.Y. Gen. Bus. Law § 349-a. Rather than banning the practice, GBL § 349-a requires any entity using "personalized algorithmic pricing," defined as dynamic pricing set by an algorithm using data that identifies or could reasonably be linked with a specific consumer or device, to include a clear and conspicuous disclosure at the point of sale stating: "THIS PRICE WAS SET BY AN ALGORITHM USING YOUR PERSONAL DATA."

There is no private of right action under Section 349-a. Before the New York Attorney General may pursue an enforcement action, it must issue a cease-and-desist letter specifying the

alleged violations. If the violations continue, the statute authorizes the Attorney General to pursue injunctive relief and civil penalties of up to $1,000 per violation.

On January 8, 2026, the New York Attorney General's Office issued a letter to a food delivery company stating that it was investigating whether the company's notice provision at its point of sale complied with the statute. The letter cautioned that the use of "fine print text" may not comply with the Act's requirements that the disclosures be "clear and conspicuous."

California Consumer Privacy Act Enforcement

In the future, private plaintiffs or California enforcement authorities may allege that surveillance pricing violates state consumer privacy statutes, particularly the California

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While several bills, such as Illinois Senate Bill 2255 and California AB 2564, ban the use of surveillance pricing in all industries, other proposed statutes focus only on essential goods and services, such as groceries.

Notably, some of these statutes grant consumers a private right of action for violations of the statute. For example, New York State Assembly Bill A9349 would ban the use of surveillance pricing and authorize consumers to bring a cause of action for (i) actual damages, including any overcharges or lost discounts, (ii) injunctive or declaratory relief, and (iii) statutory liquidated damages between $550 and $5,000 per violation. Similarly, Illinois Senate Bill 2255 prohibits the use of "surveillance data as part of an automated decision system to inform the individualized price assessed to a consumer for goods or services." Consumers injured under the Illinois law could bring suit seeking (i) actual damages sustained or (ii) $3,000 for each

violation. Furthermore, under the proposed Illinois statute, a consumer could seek three times the amount of actual damages sustained if the defendant violated the statute intentionally or in bad faith. Florida's proposed SB 1746 similarly would authorize plaintiffs to recover actual damages or civil penalties up to $1,500 per violation.

All of these proposed laws that authorize private rights of action would make each time a consumer is charged a price set by an algorithm using personal information a *separate violation* for damages purposes. For example, under the New York statute, if a consumer ordered from an online retailer once a week for a year and was charged a price based on that consumer's personal information on every occasion, that consumer could bring a suit seeking $5,000 for each and every order. The proposed statutes would also permit a prevailing plaintiff to recover attorneys' fees.

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serves as the "hub," competing firms are the "spokes," and the necessary "rim" of the conspiracy is either an express or implied agreement among those competitor firms to adhere to the pricing tool's outputs. [1]

By contrast, until recently, there have been few private lawsuits attacking "surveillance pricing" under the prevailing privacy laws or state consumer fraud theories of liability. That may be changing.

On April 22, 2026, a plaintiff filed suit against JetBlue Airways, alleging that JetBlue's use of individualized consumer data — collected through website tracking technologies and shared with third-party analytics and pricing vendors — violates the federal Electronic Communications Privacy Act (ECPA), the New York Unfair and Deceptive Trade Practices Act,

and the New York Unlawful Selling Practices Act. The plaintiff purports to represent a putative nationwide class as well as a New York subclass. The complaint characterizes the lawsuit as "one of the very first class actions in American history regarding dynamic surveillance pricing." *Phillips v. JetBlue Airways Corp.*, No. 1:26-cv-02405 (E.D.N.Y.). The filing follows reporting of a now-deleted social media exchange in which JetBlue appeared to suggest that pricing could vary based on browser data. The complaint repackages those reports as allegations that JetBlue adjusts fares based on user-specific website data, including search behavior and session history. [2]

The complaint alleges that the data collected by airline carriers like JetBlue is inherently "highly sensitive," including both personally identifiable information and detailed transaction-level data relating to a customer's flight selection. The complaint contrasts JetBlue's public

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monopolization claim under Section 2 of the Sherman Act, a plaintiff must allege (i) monopoly power in a properly defined relevant market and (ii) exclusionary conduct. The former requires defining both a product and geographic market and plausibly alleging the ability to control prices or exclude competition, often through market share and barriers to entry. The latter requires conduct that harms competition, not merely competitors. While courts have made clear that vigorous competition — including price-cutting — is lawful, conduct such as predatory pricing can, in certain circumstances, constitute unlawful monopolization. *See Brooke Group Ltd. v. Brown & Williamson Tobacco Corp.*, 509 U.S. 209 (1993).

Viewed in that light, surveillance pricing theories could gain traction — particularly where plaintiffs plausibly allege both market power and the use of data-driven pricing tools to distort competitive conditions. For example, plaintiffs may contend that such tools enable firms to

target specific consumers or segments to foreclose rivals, or to selectively underprice competitors in the short term to gain market share before raising prices. At a minimum, these types of allegations — especially when coupled with detailed claims regarding data collection, third-party analytics, and real-time pricing — may be sufficient to survive a motion to dismiss, exposing companies to wide-ranging discovery into pricing strategies, systems, and methodology, along with scrutiny of companies' associated data practices.

In sum, while the JetBlue cases assert claims under privacy and consumer fraud statutes, they may ultimately be viewed as a harbinger of a broader wave of consumer class actions that challenge data-driven pricing practices not only under privacy laws, state consumer protection statutes, or future surveillance pricing statutes, but also under federal antitrust law, with the attendant risk of treble damages depending on the market context and the role of

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Companies should assess whether they are complying with the existing legal framework regarding surveillance pricing, including:

- Does the Maryland Protection from Predatory Pricing Act apply to the company?
- Is the company complying with the New York GBL Section 349-a disclosure requirements if it is using the pricing practices regulated under the statute?
- Is the company complying with the CCPA's "purpose limitation principle?"

Review Current Policies, Disclosures, & Consumer Consents

Companies should assess if their current privacy policies, terms of use, and other consumer disclosures accurately state how consumer data is being used, whether any such data is being transmitted to third parties, and whether any such data is being used to establish or modify pricing. Companies should also assess whether they are obtaining consent from consumers for their data practices, and whether the consents extend to the company's pricing strategies.

- Consider updating the company's policies, disclosures and consumer consents as needed to address any identifiable gaps.

High-Risk Industries

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pricing practice?

- Does the pricing practice result in different prices in certain geographic areas or cities? Are the prices different on an individual level?
- Will the use of the pricing practices create differences between shelf pricing or advertised prices, and the prices consumers pay at check-out?
- Are the pricing practices used for either "brick and mortar" transactions or electronic transactions?
- Could the pricing practices be deemed to be confusing or misleading to a "reasonable" consumer?

- Could the pricing practices inadvertently create adverse pricing impacts for protected classes of individuals?

Understand that a court may consider the totality of the circumstances, including information concerning a retailer's size, history, controls, and profit opportunity, when evaluating a pricing practice.

FOOTNOTES

1. A discussion of antitrust cases involving algorithmic pricing conspiracies is outside the scope of this article. Examples of these types of cases include *In re RealPage, Inc., Rental Software Antitrust Litig. (No. II)*, 709 F. Supp. 3d 478 (M.D. Tenn. 2023); *Gibson v. Cendyn Grp., LLC*, 148 F.4th 1069 (9th Cir. 2025); *Mach v. Yardi*

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Meet the Authors

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